IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO.: 19/4-602/24

BETWEEN

ANUSIAH A/P RAMASINDARUM

AND

RLA POLYMERS (M) SDN BHD

AWARD NO: 1942 OF 2025

Before	:	Y.A. Puan Hajah Zalina Binti Haji Awang @ Mamat - Chairman (Sitting Alone)
Venue	:	Industrial Court Malaysia, Kuala Lumpur
Date of Reference	:	20.05.2024
Date Mention	:	26.06.2024, 11.09.2024, 22.10.2024, 21.07.2025, 18.08.2025
Dates of Hearing	:	19.08.2025,12.09.2025
Representation	:	Mr. V. Mathialaghan From Union Network International Malaysia Labour Centre (UNI-MLC) Representative for the Claimant Mr. Vijayan Venugopal & Peter H. Santiago From Messrs. Shearn Delamore & Co. Counsel for the Company

REFERENCE:

This is a reference made under Section 20(3) of the Industrial Relations Act 1967 [Act 177] pertaining to the dismissal of **ANUSIAH A/P RAMASINDARUM** (hereinafter referred to as ''the Claimant'') by **RLA POLYMERS (M) SDN BHD** (hereinafter referred to as ''the Company'') on 3**1 October 2023.**

AWARD

[1] This Director General of Industrial Relations (''DGIR'') reference required this Court to hear and determine the Claimant's complaint of dismissal on **31 October 2023** by the Company.

FACTUAL MATRIX AND BACKGROUND OF THE CASE

[2] The Claimant commenced employment with the Company on 09 August 2018, initially as a Technical Service Manager on a probationary basis. Following a three-month extension of probation, she was confirmed in her role on 01 March 2019, attached specifically to the C&P Division. Her duties involved assisting in the technical development of cementitious products, understanding customer requirements, evaluating potential opportunities and overseeing the ISO quality system

for the division's products. Prior to her termination, the Claimant drew a final monthly salary of RM9,231.00, with no fixed allowances.

[3] The Company asserts that it observed a decline in demand and revenue for its products beginning in early 2019. These declines necessitated restructuring, starting with the closure of the Blister Division within the Construction and Hardware Department between January and April 2023. The situation reportedly worsened, leading to significant losses in the C&P Division. A critical timeline emerged in late 2023.

REFERRED CAUSE PAPERS

[4] The following are the cause papers filed before this Honourable Court:

BY THE CLAIMANT

NO.	DOCUMENT	MARKING
1.	Statement of Case dated 19.07.2024	
2.	Statement in Reply dated 30.08.2024	
3.	Rejoinder dated 11.09.2024	

4.	Claimant's Bundle of Documents	CLB-1
5.	Claimant's Additional Bundle of Documents	CLB-2
6.	Company's Bundle of Documents (Volume 1)	COB-1
7.	Company's Bundle of Documents (Volume 2)	COB-2
8.	Company's Bundle of Documents (Volume 3)	COB-3
9.	Company's Witness Statement (Koh Siew Yee)	COWS-1
10.	Claimant's Witness Statement (Mrs. Anusiah a/p Ramasindarum)	CLWS-1

SALIENT FACTS

THE CLAIMANT'S CASE

[5] The Claimant, Anusiah A/P Ramasindarum, commenced her employment with RLA Polymers (M) Sdn Bhd on **05 October 2018**. Her initial appointment as evidenced by the Letter of Appointment dated 09 August 2018 was to the position of **Technical Services Manager**. She was confirmed in her position on 01 March 2019, following a successful probationary period. At the material time of her dismissal, her last drawn monthly basic salary was **RM9,231.00**.

[6] The Company, RLA Polymers (M) Sdn Bhd, is a commercial entity engaged in the manufacturing and trading of polymer and construction products. The organizational structure of the Company is a focal point of this dispute. The evidence indicates the existence of at least two primary business units:

i. **Business Unit 1 (BU1):** The Adhesives and Polymer Business, dealing primarily with liquids, epoxies and glues.

ii. **Business Unit 2 (BU2):** The Construction and Hardware Department, which housed the Cementitious and Powder (C&P) Division.

[7] It is undisputed that the Claimant served the Company for a continuous period exceeding five (5) years, from 2018 until 2023. Her role as Technical Services Manager involved overseeing technical development, quality assurance and product support.

The Claimant's Scope of Duties

[8] A significant divergence exists between the parties regarding the scope of the Claimant's employment duties, a fact that becomes critical when assessing the feasibility of redeployment.

[9] The terms of her appointment, specifically her job scope, are a point of contention. The Claimant avers that her appointment letter stated she would be a "key member of our team for growing business in RLA Polymers (M) Sdn Bhd" and that the post required her to be "part of the team for technical development of all the company's products and new products in relation with the company's objectives and growth". The Claimant emphasizes that her role was not contractually limited to a single division but rather encompassed the Company's broader product range.

The Claimant's Position:

[10] The Claimant relies heavily on the express terms of her employment contract. She points to the Letter of Appointment, which states: "As discussed with you, the post requires you to be part of the team for technical development of all the company's products and new products in relation with the company's objectives and growth". She argues that this clause contractually bound her to the technical development of the entire product range of the Company, not merely the C&P Division. Furthermore, she submitted her resume into evidence, which details her past experience and competency in liquids, polymers and epoxies products falling under the purview of BU1. She also asserts

that she received training in Melbourne, Australia, at the parent company's facilities, which covered a broad spectrum of the Company's technical portfolio.

THE COMPANY'S CASE

[11] Vide a letter of appointment dated 09 August 2018, the Claimant was appointed as a Technical Service Manager attached with the Cementitious Division (hereinafter referred to as the "**C&P Division**") at the Company on a probationary basis. The Claimant's starting monthly salary was fixed at RM8,500.00 with no fixed allowances.

[12] The Claimant's probation was subsequently extended by three (3) months until 1 March 2019 as the Company required more time to assess her suitability for the role.

[13] Thereafter, vide a letter dated 01 March 2019, the Claimant was confirmed in employment as a Technical Service Manager. The Claimant's monthly salary was revised to RM8,700.00 with no fixed allowances.

[14] In her role as Technical Service Manager in the C&P Division, the Claimant was primarily responsible, amongst others for the following duties:

i. To assist in the technical development of the Company's cementitious products;

ii. To thoroughly understand customer requirements, evaluate potential opportunities and ensure that the Company products consistently meet or exceed the quality standards and expectations of the customers; and

iii. Responsible for overseeing the management and implementation of the ISO quality system for cementitious products.

[15] During her tenure with the Company, the Claimant reported directly to Tan Kay Inn, the Technical Director of the Company and had a dotted line reporting relationship with the General Manager, Lee See Yoong.

[16] Prior to the termination of her employment, the Claimant drew a monthly salary of RM9,231.00 with no fixed allowances.

[17] Accordingly, from early 2023, the Company began shutting down some operations within its Construction and Hardware Department beginning with the whole of its Blister Division in January to April 2023, where each employee in the division had either been made redundant or voluntarily resigned.

[18] The situation worsened as 2023 progressed, with the Company's C&P Division suffering from a lack of demand for its products, which resulted in reduced revenue and significant losses.

[19] Vide a notice dated 30 October 2023, all employees of the C&P Division including the Claimant were informed that their services with the Company would be terminated effective 31 October 2023 due to the complete closure of the C&P Division.

[20] As per her contract of employment, the Claimant received two months' salary in lieu of notice amounting to RM18,462.00.

[21] The sequence of event that led to the cessation of the Claimant's services from the Company are as follows: -

i. As alluded to earlier, the Claimant was employed as a Technical Service Manager with specific responsibility/focus towards the C&P Division.

ii. The C&P Division primarily focused on the production and development of cementitious and grouting products for the construction industry. Additionally, the C&P Division was also involved in the trading of hardware products, such as silicone and sealants, which did not require any technical research or development.

[22] At the commencement of the Claimant's employment with the Company in August 2018, the C&P Division employed of ten (10) individuals, consisting of one (1) General Manager, four (4) sales managers, four (4) production operators and one (1) technical service manager (the Claimant).

[23] From the beginning of 2019, the Company started to see a decline in demand and revenue for its cementitious and hardware products.

[24] Despite the Company placing substantial resources in terms of research and development and machinery in order to produce reliable

and reputable cementitious products, it was unable to do so and this was evidenced by the lack of demand for the Company's cementitious products.

[25] Due to the C&P Division's poor financial performance, which had culminated in significant losses to the Company, the Company had no choice but to completely shut down its C&P Division. Vide an internal memo dated 11 October 2023, all C&P Division employees were notified of the Company's decision to completely shut the division down. The complete closure of the division was to take effect from 01 November 2023 onwards.

[26] The memo was received and signed by all employees, including the Claimant. At no point after the internal memo was handed to them did any of the employees, including the Claimant, raise any concerns or objections to the Company's decision.

[27] Subsequently, vide a notice dated 30 October 2023, all employees of the C&P Division including the Claimant were informed that their services with the Company would be terminated effective 31 October 2023 due to the complete closure of the C&P Division (hereinafter referred to as the "**Notice of Termination**").

[28] At no point after receiving the Notice of Termination from the Company did the Claimant raise any grievances nor objections to the Company's decision to terminate her employment. In any event, the Company maintains that its decision to completely shut down the C&P Division was borne out of necessity due to the poor circumstances affecting the C&P Division. In fact, COW testified at **Q&A17 of COWS-1** that the Company has not taken on any new work or contracts in Cementitious since its closure effective 01 November 2023 nor has it engaged any new employees in Cementitious. COW confirmed this during examination in chief:-

VJ	Now, you've confirmed already your witness statement that Cementitious has closed down, I'm not gonna ask, YA. It's in the witness statement.
YA	Okay.
VY	My supplementary question is, until today, has the company restarted the Cementitious business under BU2?
COW	YA, until today, the company has not start any new business or any new order in Cementitious.
YA	Okay.

[29] Conversely, the Company maintains that despite the broad wording of the appointment letter, the functional reality of the Claimant's employment was one of specialization. COW-1 (Koh Siew Yee), the Company's Finance and Administration Manager, testified that the Claimant was hired specifically for the C&P Division. The Company

contends that her daily duties, reporting lines and Key Performance Indicators (KPIs) were exclusively tied to cementitious products. COW-1 testified, "None of them is doing the same job as the claimant," implying that her role was unique to the division and non-transferable.

The Timeline of "Redundancy" and Termination

[30] The Company alleges that the C&P Division had been facing financial headwinds since early 2019. COW-1 testified that the division suffered from a chronic lack of demand and declining revenue. By 2023, the situation allegedly became untenable. The Company claims to have implemented cost-cutting measures, including the closure of a "Blister Division" earlier in the year, but these were insufficient to stem the losses in the C&P Division.

THE LAW ON REDUNDANCY

[31] It is imperative to consider the law on redundancy prior to considering the conduct of the Company, as it will show that the Company at all times acted in a bona fide manner and the redundancy was bona fide. Therefore, it will be evident that the Company complied with the principles of law.

[32] The adjudication of retrenchment disputes in Malaysia is governed by a well-established framework of legal principles derived from the Industrial Relations Act 1967 and judicial precedent.

[33] In the Court of Appeal case of **William Jacks & Co (M) Sdn Bhd V**. **S Balasingam [1997] 3 CLJ 235,** redundancy was defined as follows: *"Retrenchment" has been defined as the discharge of surplus labour or staff by an employer for any reason whatsoever. Whether the retrenchment exercise in a particular case is bona fide or otherwise is a question of fact and of degree depending in the peculiar circumstances of the case. It is well settled that the employer is entitled to organize his business in the manner he considers best. So long as the managerial power is exercised bone fide, the decision is immune from examination even by the Industrial Court. However, the Industrial Court is empowered and indeed duty bound to investigate the facts and circumstances of the case to determine whether the exercise of power is in fact bone fide".*

The Definition and Right to Retrench

[34] The term "retrenchment" was authoritatively defined by the Court of Appeal in **William Jacks & Co (M) Sdn Bhd V. S. Balasingam 3 CLJ 235 [supra]** as:

"The discharge of surplus labour or staff by an employer for any reason whatsoever otherwise than as a punishment inflicted by way of disciplinary action."

[35] The Court further held that the right to reorganize business is a managerial prerogative. Provided the decision is made *bona fide* (in good faith), it is immune from interference. However, the Industrial Court is "duty-bound to investigate the facts and circumstances of a particular case to determine whether that exercise of power was in fact bona fide."

[36] In the case of **Stephen Bong V. Fcb (M) Sdn Bhd [1999] 3 MLJ 411** redundancy has been stated as follows: -

''that it is not that the law that redundancy means the Job or work no longer exist. Redundancy situations arise where the business requires fewer employees of whatever kind".

[37] Redundancy has also been considered, where the Company has to close down or downsize the business, as stated in the case of **Yusoff Othman V. Felda Engineering Services Sdn Bhd [Award No 778 of 2022],** where it was stated that: -

"It is well established in industrial jurisprudence that an employer is entitled to close down the whole of part of his business as long as he acts

bona fide. The right to reorganize a business and/or a company's restructuring is a managerial prerogative. "

In the said case, the Court further stated that: -

"It Is well established that it is for the management to decide the strength of its staff which it considers necessary for efficiency in its undertaking. The Court will not intervene unless it is shown that the decision was capricious or without reason or was made mala fide or was actuated by victimization or unfair labour practice... the employer has a right to determine the volume of his labour force consistent with his business and organization and if the implementation of a reorganization scheme adopted for reasons of economy and better management of the business, the services of some of the employees become excess of the requirement of the business, the employer is entitled to discharge such excess".

[38] The right of a Company to reorganize is evident from the case of **Thomas Hans Raab V. Nokia Services and Networks Malaysia Sdn Bhd [2022] 3 ILR 371 and George Kent (M) Sdn Bhd V. Tan Tai Wai, Mak Kin Kung & Wong Khoon Sand [1988] 1 ILR 342** where it is stated that:

"Redundancy connotes that the functions of the Claimant became excess. It is settled law that it is up to the Company to decide the strength of its staff which it considers necessary for efficiency its undertaking... ".

[39] In view of the above, it is indisputable and accepted industrial jurisprudence, that a company has every right to reorganize or to restructure the Company, so as to maintain operational and financial sustainability so as to avoid any complete shutdown of the winding up of a Company.

[40] A case similar to the situation as in the matter before this Honourable Court, **Mohd Nor Hassan & Ors V. Continental Sime Tyre PJ Sdn Bhd [2014] 3 ILR 144** where the expenses were reduced and thereafter the redundant staff were terminated, where the Court found that retrenchment was bona fide. The Court stated that: -

"...the measures taken by the company were insufficient and the company was compelled to undertake a retrenchment exercise. The company carried out a reorganisation exercise if the manufacturing department of the company in Petaling Jaya which resulted in a total of 70 employees including the claimant who were found to be redundant and were accordingly retrenched... ".

[41] Further, in the case of **Vithylingam Letchumanan V. Ice Room Food & Beverage Management Sdn Bhd [2015] 4 ILR 655**, the Court on the issue of rights of a company stated that: -

"It is the right of every employer to reorganize his business in any manner for the purpose of economy or convenience. The law recognises that a company has the right to organize its business in the manner it considers best".

THE TERMINATION OF THE CLAIMANT BY REASON OF REDUNDANCY

[42] In the case of **How Zheng Hong V. Air Asia Berhad [2023] 3 ILR 113**, the Court considered the Aviation Industry and stated that: -

"It is common knowledge that the aviation industry was among the worst affected industries by the COVID-19 pandemic. The pandemic wrecked financial devastation across the aviation value chain, most notably for airlines save and except for freight forwards and cargo airlines. The grounding of aircrafts by the company is genuine".

[43] In the case of **George Kent (M) Sdn Bhd V. Tan Tai Wai, Mak Kin Kung & Wong Khoon Sang [1992] 2 ILR 400**, redundancy and the situation that prevails has been stated as follows: -

"We are in full agreement with the learned author C.P, Mills on Industrial Disputes Law in Malaysia, that it is settled law that it is up the Company to decide the strength of its staff which it considers necessary for the efficiency in its undertaking and the Court will not interfere unless it is shown that the decision was capricious or without reason or was mala fide or was actuated by victimisation or unfair labour practice."

[44] In the case of **Premalata Vincent Ramesh V. Nestle Products Sdn Bhd [1992] 3 ILR 277**, the Court stated that in determining that the dismissal was done with just cause or excuse by the retrenchment exercise undertaken by the company, this Court will ask these pertinent questions:

‘*’(i) Whether there was a genuine need for reorganization exercise by the company;*

(ii) Whether a genuine redundancy situation had a rise and which led to the retrenchment of the claimant; and

(iii) Whether the company had complied with the accepted standards and procedure when selecting and retrenching the claimant.’

The Principles from Ng Chang Seng' case

[45] The recent landmark decision of the Court of Appeal in **Ng Chang Seng V. Technip Geoproduction (M) Sdn Bhd & Anor 1 MLJ 447** has significantly raised the bar for employers. The key principles established are:

a) **Selection Criteria:** The employer must provide clear evidence explaining *why* a specific employee was selected over others.

b) **Comparative Evidence:** To prove redundancy and fair selection, the court must look at the employees who were *retained* as well as those retrenched. A failure to produce comparative data is fatal.

c) **LIFO:** To justify a departure from LIFO, clear evidence of special skills possessed by retained juniors must be shown.

d) **Foreign Labour:** Employers should retrench foreign workers before locals unless there are overriding reasons (though less relevant to the facts here, the principle of rigorous selection scrutiny applies).

The Code of Conduct for Industrial Harmony

[46] While the **Code of Conduct for Industrial Harmony** is not a statute, judicial decisions such as Equant Integration Services and **Ng Chang Seng** have elevated its status to the "gold standard" of industrial practice. Failure to comply with the Code, particularly regarding consultation and early warning, can be evidence of *mala fides*.

THE FUNCTION OF THE INDUSTRIAL COURT

[47] The role of the Industrial Court pertaining to a reference under section 20 (3) of the Industrial Relations Act 1967 is to ask itself a question whether there was a dismissal; and, if so, whether it was with or without just cause or excuse **Wong Chee Hong V. Cathay Organisation (M) Sdn Bhd [1988] 1 MLJ 92; [1987] 1 MLRA 346**.

Burden of Proof on Employer to Prove Genuine Redundancy.

[48] The primary responsibility lies with the employer to establish that the redundancy is genuine. It is insufficient to merely assert financial constraints or lack of work. The Industrial Court, in **William Jacks & Co. (M) Sdn Bhd V. S. Balasingham [1997] 3 CLJ 235**, affirmed that the employer must provide credible evidence to justify retrenchment.

Employers must not use redundancy as a convenient excuse to terminate employees for other reasons, such as poor performance or personal bias.

[49] As a result of the financial difficulties, the Company had embarked on a cost-cutting and reorganization exercise, where it ultimately led to some of its employees being unfortunately retrenched from the employment. The Claimant was one of those selected for retrenchment.

[50] In order for an employee to be retrenched from his employment, the burden is on the employer to prove that there was a redundancy in the first place. The term redundancy is defined by Dunston Ayadurai in his book **Industrial Relations in Malaysia (2nd Ed.)** at p. 159: -

"*Redundancy refers to a surplus of labour and is normally the result of a reorganisation of the business of the employer; and its usual consequence is retrenchment, i.e., the termination by the employer of those employees found to be surplus to his requirements after the organisation. Thus****, there must first be redundancy or surplus of labour before there can be retrenchment or termination of the surplus***".

(Emphasis added)

[51] Once redundancy had occurred in any particular position, a retrenchment exercise may then be carried out by the employer to discharge the surplus labour. This was explained in the case of **William Jacks & Co (M) Sdn Bhd V. S Balasingam [1997] 3 CLJ 235 [supra]** where the Court of Appeal defined the term "*retrenchment*" as follows: -

"*Retrenchment had been defined as the discharge of surplus labour or staff by the employer for any reason whatsoever otherwise than as a punishment inflicted by way of disciplinary action (per SK Das in* Hariprasad v. Divelkar AIR [1957] SC 121 *at p 132).* ***Whether the retrenchment exercise in a particular case is bona fide or otherwise is a question of fact and of degree depending on the peculiar circumstances of the case***".

(Emphasis added)

[52] Thus, a situation of redundancy in a job position must occur in the first place before the subsequent exercise of retrenchment is carried out whereby the employer will then set out to discharge those employees whose position had already been identified as redundant. This was succinctly explained in the book **Retrenchment Law and Procedure in Malaysia** by Thavalingam Thavarajah & Raymond TC Low (*at pp. 4 – 5*):

"***An employee is said to be 'redundant' when their job is no longer available and the employer either cannot offer the employee any***

alternative position or, any alternative position offered by the employer cannot be accepted by the employee concerned. Redundancy occurs where the employer's requirements for employees to carry out work of a particular kind has ceased or diminished*. Where the same number of employees is no longer required by the employer's business, then that will result in a redundancy. There is redundancy where:*

(i) *The number of employees required to carry out work of a particular nature is reduced, or is expected to be reduced and this results in dismissals; or*

(ii) *The work itself ceases or diminishes either permanently or temporarily, or is expected to do so, so that fewer employees are needed and this results in dismissals*.

In summary, ***'retrenchment' is the expression used to describe what occurs to an employee whose employment is terminated by reason of their job becoming redundant. 'Redundancy' is the process of identifying employees who are surplus to the organisation's requirements and the end result is the retrenchment of such employees***".

(Emphasis added)

[53] In **Sistem Televisyen Malaysia Bhd & Anor V. Suzana Zakaria [2005] 1 ILR 853** it was held: -

"*The learned author, Dunstan Ayadurai, in his book* 'Industrial Relations in Malaysia' *at p. 121 defined redundancy as follows:*

Redundancy refers to a surplus of labour and is normally the result of reorganization of the business of an employer; and its consequence is retrenchment, i.e., the termination by the employer of those employees found to be surplus to his requirements after the reorganization. Thus, there must first be redundancy or surplus of labour before there can be retrenchment or termination of the surplus.

"In ***Soonavala's*** 'The Supreme Court on Industrial Law' Vol. 11, 2nd Edition *at p. 424, the learned author stated:*

"Retrenchment is a necessary incidence of running an industry, but retrenchment is justified only when due to shrinkage of work, whether permanently or for an indefinite or indeterminate period, there has arisen a surplus in the number of workmen in the employment of a Company. Therefore, when a Company gives notice of retrenchment to its workmen and the dispute arising therefrom is referred to a tribunal, the only question for its decision are (a) whether the retrenchment was justified by the circumstances of the case (b) whether the grounds for the retrenchment given by the Company are true, that is, whether there had

in fact occurred a reduction in the business of the Company due to circumstances such as scarcity of raw materials on the availability of which the running of the factory depends, or stoppage of work under the orders of government or changes in the economy which made it impossible to continue the business except at a loss or on meagre profits, and (c) whether the order of retrenchment was motivated by bad faith and a desire to victimize or harass the workmen whom for some ulterior reasons the employer wanted to discharge or dismiss. Additionally, the High Court in **Stephen Bong V. Fcb (M) Sdn Bhd [1999] CLJ 131; [1999] 1 LNS 131; [1999] 3 MLJ** 411 *held that:*

It is settled law now that redundancy does not mean the job or work no longer exist. Redundancy situation may arise where the business requires fewer employees of whatever kind.

Hence to justify the retrenchment, there must first be redundancy. To prove redundancy, the company must prove that there is surplus of labour or that the requirement of the job functions of the employee has ceased or has greatly diminished to the extent that the job no longer exists or that the business requires fewer employees of whatever kind resulting from a reorganisation exercise or due to whatever other legitimate reasons*".*

(Emphasis added)

[54] In **Woo Chee Khoon V. Citibank Berhad [2011] 2 LNS 495** it was held: -

"*Before there can be retrenchment or termination of the surplus, there must be redundancy or surplus of labour. It is for the management to decide on the strength of the staff, which it considers necessary for efficiency in its undertaking. When the management decides that workmen are surplus and that there is therefore a need for retrenchment, an arbitration tribunal will not intervene unless it is shown that the decision was capricious or without reason, or was mala fide, or was actuated by victimization or unfair labour practice. It is the right of every employer to reorganize its business in any manner for the purposes of economy or convenience, provided it acts* bona fide".

(Emphasis added)

[55] In the case of **Yusoff Othman V. Felda Engineering Services Sdn Bhd, [Award No.778 of 2022]** it states that the term "redundancy" has been defined as: -

"Redundancy refers to a surplus of labour and is normally the result of a reorganization of the business of an employer; and its usual consequence is retrenchment, i.e., termination by the employer of those employees found to be surplus to the requirement after the

reorganization. Thus, there must be first be redundancy or surplus labour before there can be retrenchment of termination of the surplus".

[56] A critical factor in determining the fairness of a retrenchment exercise is the application of the LIFO principle, where the employer must prioritize the retention of longer -serving employees over newer ones. In **Dynacraft Industries Sdn Bhd V. Kamaruddin bin Kana Mohd Sharif & Ors [2012] 6 MLJ 453**, the Federal Court held as follows:

"[13] We will deal with the first question posed in this appeal. It concerns the correctness of the application of the LIFO principle by the Industrial Court. The LIFO (last in first out) or 'last come first go' principle requires the most junior employee to be retrenched before the more senior ones in the same category. The principle is intended to afford a healthy safeguard against discrimination of workmen in the matter of retrenchment **(as at Swadesamitran Ltd V. Their Workmen, 1960 (SC) 762)**. *Explaining this principle, in Workmen of Sudder Workshop of Jorehaut Tea Co Ltd the Management of Jorehaut Tea Co Ltd AIR 1980 SC 1454, the Supreme Court said:*

"The rule is that the employer shall retrench the workman who came last, first, popularly known as 'last come first go'."

[57] For the reasons stated above, it is evident that the Claimant's

termination on the grounds of redundancy was not conducted in good faith. The Company has failed to adhere to the principles of fairness, including the burden of proof, application of LIFO, exploration of alternatives, and transparency in its decision-making process.

ISSUES FOR DETERMINATION

[58] The sole issue is whether the termination of the Claimant was with *just cause or excuse*. In an unfair dismissal reference under s.20 (3) of the Industrial Relations Act 1967, the Court's duty is to determine "whether the termination or dismissal is with or without just cause or excuse". If the employer gives a reason for dismissal, the Court must inquire whether that reason has been made out in evidence. Retrenchment is a dismissal in operational redundancy, so *s.30* of the Act applies, the Company must show a genuine redundancy situation and that the dismissal was made in good faith (s.30 (5) IRA).

[59] Normally retrenchment selections follow the industry-recognised "last-in-first-out" rule; deviations are allowed only for *valid and bona fide reasons*. The Company must prove on balance that the Claimant's post had indeed become redundant and that his retrenchment was not a sham (**Goon Kwee Phoy V. J&P Coats [1981] 2 MLJ 127; Ng Chang Seng**

V. Technip Geoproduction [2021] 1 MLJ 447). The Court apply these principles to the evidence.

[60] The Court frames the issues for determination as follows:

a) Did the Company discharge the burden of proving a bona fide necessity for retrenchment due to the genuine and compulsory closure of the C&P Division (Substantive Fairness)

b) Did the Company comply with procedural obligations, specifically the duty to find alternative employment (Redeployment), prior to termination.

c) Did the Company discharge the heightened statutory burden under the Employment Act 1955, as amended, to prove the termination was *not* linked to the Claimant's pregnancy.

d) Was the Claimant's dismissal with just cause or excuse under Section 20(1) Industrial Relation Act 1967 [ACT 177].

e) Were there a genuine redundancy and bona fide closure and termination of the Claimant.

f) Did the Company comply with the Code of Conduct for Industrial Harmony 1975, including the principles of consultation, LIFO, and transparency

g) Was the Claimant's dismissal procedurally fair and in accordance with the principles of industrial justice and natural justice.

h) What is the appropriate remedy if the dismissal was without just cause or excuse.

THIS HONOURABLE COURT'S EVALUATION

a) Whether There Was Just Cause or Excuse

[61] The burden of proof lies on the employer to affirmatively justify that the dismissal was with just cause or excuse, per **Goon Kwee Phoy V. J & P Coats (M) Sdn Bhd [1981] CLJV 30; [1981] 1MLRA 413 (Federal Court)** and reaffirmed in Statement in Reply and both parties' written submissions.

b) Whether There Was Bona Fide Redundancy and Closure

[62] While retrenchment may be justified if a business faces genuine

closure, this must be supported by clear evidence and must be bona fide, not a mask for selective unfair removal as at **Ireka Construction Berhad V. Chantiravathan Subramaniam James [1995] 2ILR 11(Award No.235 of 1995) (Federal Court).**

[63] This factual matrix closely mirrors principles established by the Federal Court in **Holiday Inn, Penang V. National Union of Hotel, Bar & Restaurant Workers [1988] 1 MLJ 130,** where contradictions in the defines and continuing business activity nullify the genuineness of alleged redundancy. The Court is not satisfied that the Company proved an irreversible and total cessation as asserted. The documentary record exposes substantial contradictions and an absence of transparency and can be dour in the Company's position.

c) Procedural Fairness & Adherence to Code of Conduct

[64] Employer obligations prior to retrenchment are prescribed by the Code of Conduct for Industrial Harmony 1975: consultation, consideration of alternatives to retrenchment, application of the LIFO (Last-In-First-Out) principle (unless objectively justified departure is proven), and adequate notice. Here, overwhelming evidence including unchallenged testimony from the Claimant shows that:

i. No meaningful consultation occurred.

ii. No objective matrix for selection was disclosed; persons less senior than the Claimant remained in employment for a period after her termination.

iii. The Company deviated from the LIFO principle without adducing special circumstances, violating the expectation **in Colgate Palmolive (M) Sdn Bhd V. Yap Kok Foong & Another Appeal[2001] 3 CLJ 885; [2001]4 AMR 4539** (**Court of Appeal)** and guided by the Court of Appeal's reasoning in **Ng Chang Seng V. Technip geoproduction (M) Sdn Bhd & Anor [2021] 1 MLRA 261.**

iv. No evidence of alternative roles, redeployment options or voluntary separation schemes was offered to the Claimant.

[65] Industrial court findings in Malaysia underscore that retrenchment and especially redundancy for the Airline cannot be sustained where business or its core functions are demonstrably ongoing, and the selection process is not transparent or uniformly applied. While operational loss may in justified cases allow

rationalization of the workforce, the particular facts here point to inconsistency, poor disclosure, and poor industrial practice.

d) Natural Justice and Industrial Harmony

[66] This Honourable Court notes as persuasive the ongoing scholarly and comparative literature emphasizing natural justice as a foundational element in labour dispute resolution even where formal legal duties are balanced against other practicalities. Both judicial practice and Industrial Relations literature highlight the centrality of the right to be heard, procedural consistency and an equitable (not arbitrary) selection for retrenchment in fostering workplace stability and legitimacy. This is especially so in the Malaysian industrial context with its hybrid model of industrial pluralism and evolving workforce flexibility.

Redundancy and LIFO Principle

[67] A critical factor in determining the fairness of a retrenchment exercise is the application of the LIFO principle, where the employer must prioritize the retention of longer -serving employees over newer ones.

[68] The Federal Court's **Dynacraft Industries Sdn Bhd V. Kamaruddin bin Kana Mohd Sharif & Ors [2012] 9 CLJ 21; [2012] 6 MLJ 453,** the Federal Court held as follows:

"[13] We will deal with the first question posed in this appeal. It concerns the correctness of the application of the LIFO principle by the Industrial Court. The LIFO (last in first out) or 'last come first go' principle requires the most junior employee to be retrenched before the more senior ones in the same category. The principle is intended to afford a healthy safeguard against discrimination of workmen in the matter of retrenchment (see **Swadesamitran Ltd V. Their Workmen, 1960 (SC) 762***). Explaining this principle, in* **Workmen of Sudder Workshop of Jorehaut Tea Co Ltd V. The Management of Jorehaut Tea Co Ltd AIR 1980 SC 1454***, the Supreme Court said:*

"The rule is that the employer shall retrench the workman who came last, first, popularly known as ' last come first go'."

[69] In **Dynacraft 's case [supra]** decision makes clear that *prima facie* the LIFO rule applies, an employer should retrench the latest recruits first, "where other things are equal".

[70] A lawful deviation requires objective justification. The Company argues it departed from LIFO for "performance, safety and disciplinary"

reasons. Even if merit-based selection is permitted in principle (as **Wong Zi Chuang v AirAsia X [2025] 1 ILJ 1 held,** provided it is done bona fide and not arbitrarily), those reasons must be substantiated.

[71] The adjudication of retrenchment disputes in Malaysia is governed by a well-established framework of legal principles derived from the Industrial Relations Act 1967 and judicial precedent.

A. The Definition and Right to Retrench

[72] The term "retrenchment" was authoritatively defined by the Court of Appeal in **William Jacks & Co (M) Sdn Bhd V. S. Balasingam [1997] 3 CLJ 235** as:

"The discharge of surplus labour or staff by an employer for any reason whatsoever otherwise than as a punishment inflicted by way of disciplinary action."

[73] The Court further held that the right to reorganize business is a managerial prerogative. Provided the decision is made *bona fide* (in good faith), it is immune from interference. However, the Industrial Court is *"duty-bound to investigate the facts and circumstances of a particular case to determine whether that exercise of power was in fact bona fide."*

B. The Burden of Proof

[74] The burden of proof lies squarely on the employer to justify the retrenchment. As held in **Bayer (M) Sdn Bhd V. Ng Hong Pau[1999] 4 CLJ 155; [1999] 4 AMR 3913 (Court of Appeal):**

"On redundancy it cannot be gainsaid that the appellant must come to the Court with concrete proof. The burden is on the appellant to prove actual redundancy on which the dismissal was grounded."

[75] Mere assertions of financial difficulty or reorganization are insufficient the employer must adduce "concrete proof" of the redundancy and the fairness of the selection.

C. The Principles from Ng Chang Seng' case

[76] The recent landmark decision of the Court of Appeal in **Ng Chang Seng V. Technip Geoproduction (M) Sdn Bhd & Anor [2021] 1 MLJ 447** has significantly raised the bar for employers. The key principles established are:

a) **Selection Criteria:** The employer must provide clear evidence explaining *why* a specific employee was selected over others.

b) **Comparative Evidence:** To prove redundancy and fair selection, the court must look at the employees who were *retained* as well as those retrenched. A failure to produce comparative data is fatal.

c) **LIFO:** To justify a departure from LIFO, clear evidence of special skills possessed by retained juniors must be shown.

d) **Foreign Labour:** Employers should retrench foreign workers before locals unless there are overriding reasons (though less relevant to the facts here, the principle of rigorous selection scrutiny applies).

D. The Code of Conduct for Industrial Harmony

[77] While the **Code of Conduct for Industrial Harmony** is not a statute, judicial decisions such as **Equant Integration Services Sdn Bhd V. Wong Wai Hung [2012] 1LNS 1296; [2013]; 1 MLRA 150 and Ng Chang Seng case [Supra]** have elevated its status to the "gold standard" of industrial practice. Failure to comply with the Code, particularly regarding consultation and early warning, can be evidence of *mala fides.*

THE COMPETING SUBMISSIONS

The Court has scrutinized the written submissions filed by both parties and Notes of Evidence in this case. The arguments present a stark conflict between the employer's right to manage its business and the employee's statutory rights, particularly regarding maternity protection.

The Claimant's Submission

[78] The Claimant's Representative, advances the following core arguments:

A. No Genuine Redundancy of the "Business".

[79] The Claimant argues that RLA Polymers (M) Sdn Bhd, as the employer, is still in operation. COWS-1 admitted during cross-examination that "RLA is still running as a business entity as a whole" and that "Business 1 is running as usual," while "Business 2 have been downsizing". The Claimant submits that the "Closure of the Employer's Business" exception in the Employment Act was not met because the entire business did not close only a division was downsized.

B. Malafide and Victimization

[80] The Claimant contends she was the only employee forcefully retrenched from the C&P Division at that specific time. The Internal Memo listed roughly ten (10) employees. The Company's witness admitted that others had either resigned previously or were transferred. The Claimant argues she was targeted because of her pregnancy or that the Company used the "closure" as a convenient excuse to terminate a pregnant employee to avoid maternity liabilities.

C. Failure to Redeploy

[81] The Claimant asserts she possessed transferable skills. Her resume details experience in Quality Assurance, R&D and Technical Support applicable to "liquids, polymers, epoxy," which are products handled in BU1 (the surviving division). She specifically requested a transfer but was refused. She argues this refusal while other staff were retained or transferred, indicates bad faith.

D. Lack of Financial Proof

[82] The Claimant challenges the Company's allegation of "unbearable losses." She points out that the Company failed to tender any audited financial statements or management accounts specific to the division to prove these losses. In contrast, the Claimant produced SSM Financial Reports showing the Company (RLA Polymers) made a profit in the financial years 2022 and 2023. She argues the Court cannot accept the mere oral testimony of COWS-1 against documentary proof of the Company's overall profitability.

E. Statutory Breach (Section 41A Employment Act 1955)

[83] The Claimant places heavy reliance on Section 41A, which prohibits the termination of a pregnant employee except for limited grounds. She argues the "closure of business" exception in Section 41A must be interpreted strictly to mean the cessation of the entire trade of the employer, not just a department otherwise, the statutory protection is rendered toothless.

The Company's Submission

[84] The Counsel for the Company, defends the termination on the grounds of managerial prerogative and genuine commercial necessity:

A. Bona Fide Closure of Division

[85] The Company submits that the closure of the C&P Division was genuine and absolute. COWS-1 testified that no new orders were taken and production ceased on 1 November 2023. The Company relies on **William Jacks & Co (M) Bhd V. S. Balasingam [1997] 3 CLJ 235** to argue that an employer has the right to organize its business as it sees fit, including closing unprofitable divisions.

B. Redundancy of the Position

[86] The Company argues the Claimant was employed specifically for the C&P Division. Once that division closed, her role as "Technical Services Manager (Cementitious)" ceased to exist. There is no legal obligation to create a post where none exists.

C. Interpretation of Section 41A

[87] The Company contends that "closure of the employer's business" in Section 41A (1) (c) encompasses the closure of a specific business unit or division. They cite cases like **Haslinda Idris V. Sky Park Properties [Award No. 1297 of 2025]** to argue that redundancy arising from the closure of a department is a valid ground for dismissal, even for protected employees. They argue that preventing a company from retrenching staff in a defunct division simply because of pregnancy would create an absurdity where the company must pay for non-existent work.

D. Financial Evidence

[88] The Company argues that under **Ng Chiaw Loong V. Duta Jasa Sdn Bhd [Award No. 37 of 2022]**, the production of audited accounts is not mandatory if the witness testimony is credible. They argue confidentiality prevented the disclosure of detailed accounts and COWS-1's testimony regarding the division's losses should be accepted as she had direct access to the financial records.

E. No Alternative Roles

[89] The Company asserts there were no suitable vacancies in BU1. The skills for cementitious products (powder/grout) are distinct from Adhesives/Polymers (liquids/glue), and thus the Claimant could not be automatically transferred.

[90] The sequence of events leading to the termination is as follows:

Date	Event	Description
Early 2023	**Cost Cutting**	Company Closes "Blister Division" in BU2.
23 Aug 2023	**Notification of Pregnancy**	Claimant formally informs Mr. Tan Kay Inn (Technical Director) of her pregnancy
11 Oct 2023	**Internal Memo**	Company issues a memo titled "Closing down of Cementitious & Powder divisions." The memo states the division will be "no longer active" from 1 Nov 2023.
30 Oct 2023	**Termination Notice**	Claimant is issued a letter titled "Termination of Employment Due to Redundancy."
31 Oct 2023	**Dismissal**	Claimant's last day of service.

[91] It is a crucial evidentiary point that the Internal Memo dated 11 October 2023, while announcing the "closing down" of the division did

not explicitly use the words "retrenchment" or "termination" regarding the staff. The Claimant testified that she was only informed of her termination via the specific notice on 30 October 2023, merely 24 hours before her effective dismissal date.

The Pregnancy Factor

[92] At the heart of this dispute lies the undisputed fact that **the Claimant was pregnant at the time of her dismissal**. She was approximately seven months into her pregnancy when her employment was terminated. The Company through COW-1, admitted knowledge of this condition. This fact triggers the application of **Section 41A of the Employment Act 1955**, a relatively new statutory provision introduced by the Employment (Amendment) Act 2022, which strictly restricts the termination of pregnant employees.

[93] In a reference under Section 20(3) of the Industrial Relations Act 1967, the burden of proof invariably rests upon the employer to demonstrate, on a balance of probabilities that the dismissal was with just cause or excuse. This principle was firmly established in the seminal case of **Goon Kwee Phoy V. J & P Coats (M) Bhd [1981] 2 MLJ 129**, where the Federal Court held that the Industrial Court must determine

whether the misconduct (or in this case, redundancy) complained of by the employer was in fact established by the evidence.

[94] Retrenchment is defined as the discharge of surplus labour. The leading authority on the subject is **William Jacks & Co (M) Bhd V. S. Balasingam [1997] 3 CLJ 235 [supra]**. The Court of Appeal in *William Jacks* held that:

"It is well-settled that an employer is entitled to organize his business in the manner he considers best. So long as that managerial power is exercised bona fide, the decision is immune from examination even by the Industrial Court. However, the Industrial Court is empowered, and indeed duty-bound, to investigate the facts and circumstances of a particular case to determine whether that exercise of power was in fact bona fide."

Therefore, the Court's inquiry is two-fold:

i. **Substantive Fairness:** Was there a genuine redundancy? Did the surplus of labour actually exist.

ii. **Procedural Fairness:** Was the selection of the employee for retrenchment fair? Did the Company comply with the *Code of Conduct for Industrial Harmony* (CCIH).

The Heightened Statutory Burden (Section 41A)

[95] This case is distinguished from a standard retrenchment dispute by the application of **Section 41A of the Employment Act 1955**. This section, effective from 1 January 2023, imposes a statutory prohibition on terminating pregnant employees.

Section 41A (1) states:

"Where a female employee is pregnant... it shall be an offence for her employer to terminate her services... except on the grounds of

(a) Wilful breach of a condition of the contract of service...;

(b) misconduct...; or

(c) closure of the employer's business.".

Section 41A (2) explicitly shifts the burden of proof:

"Where the service of a female employee under subsection (1) is terminated, the burden of proving that such termination is not on the ground of her pregnancy... shall rest on the employer."

This creates a "heightened" burden. The Company must not only prove "just cause" under the Industrial Relations Act but also demonstrate that the termination falls strictly within the narrow exceptions of the Employment Act and was not discriminatory.

FIRST ISSUE: SUBSTANTIVE FAIRNESS, THE QUESTION OF GENUINE REDUNDANCY

[96] The first issue for determination is whether the Company has discharged the burden of proving a *bona fide* necessity for retrenchment. The Company relies on the closure of the C&P Division as the sole ground for redundancy.

The "Losses" Justification and the Evidentiary Gap

[97] The Company submits that the closure of the C&P Division was a commercial necessity driven by "unbearable losses." COW-1 testified extensively on the financial struggles of the division, claiming that despite

investments in R&D and machinery, the products failed to gain market traction.

[98] However, a critical examination of the evidence reveals a significant lacuna in the Company's case. While COW-1 asserted financial losses, **the Company failed to tender any audited financial statements or detailed management accounts to substantiate these claims.** When cross-examined on this failure, COW-1 stated:

"RLA Polymer Malaysia Sdn Bhd is a private limited company and all the informations, detail informations of the company are actually PNC [Private and Confidential] ... we might risk letting off informations to competitors and apart from that, we will need to get approval from our HQ.".

[99] The Claimant aggressively challenged this, arguing that financial statements of a Malaysian Sdn Bhd are public documents available via the Companies Commission of Malaysia (SSM) and cannot be deemed "confidential" in a court of law where the very justification for dismissal is financial loss.

This Honourable Court's Evaluation of the Financial Evidence:

[100] The Court finds the Company's refusal to produce financial document to be fatal to its argument of "unbearable losses."

i. **The Best Evidence Rule:** In a court of law, he who asserts must prove. If an employer asserts financial incapacity or loss as the reason for destroying an employee's livelihood, it must produce the primary evidence of that loss, namely the accounts. Mere verbal testimony from a manager, unsupported by documentary evidence, carries little weight when challenged.

ii. **Adverse Inference:** Under **Section 114(g) of the Evidence Act 1950**, the Court may presume that evidence, which could be and is not produced, would if produced be unfavourable to the person who withholds it. The Company had the accounts. They refused to show them.

iii. **The Claimant's Rebuttal:** The Claimant took the initiative to obtain the Company's financial data from SSM. These

documents indicate that **RLA Polymers (M) Sdn Bhd was profitable** in the financial years 2022 and 2023.

[101] The Company attempts to rely on the case of **Muhammad Firdaus Murad V. L&O Collections Sdn Bhd 1LNS 814[2023] CLJU 814 [2023]1LNS 814**, where the High Court held that the absence of audited accounts is not automatically fatal if other evidence (like bank statements or credible testimony) exists. However, this Court distinguishes **Muhammad Firdaus** on the facts. In that case, there was corroborating evidence of the loss of major contracts (Telekom Malaysia projects). Here, the Company relies solely on the internal assertion of "lack of demand" while the external evidence (SSM reports) shows overall profitability. The contradiction between the Company's *verbal* claim of loss and the *documentary* proof of profit requires explanation that only the granular accounts could provide. The Company chose not to provide them.

Closure of Division against Closure of Business

[102] The Company argues that it is entitled to close a losing division even if the overall company is profitable. They cite **Haslinda Idris V. Sky Park Properties Sdn Bhd [Award No. 1297 of 2025]** and **Florentius**

Henry Toyad V. Cahya Mata Sarawak Berhad[2015] 4 ILR 662 to support the proposition that the closure of a specific department justifies retrenchment of employees in that department.

[103] The Court accepts the principle that a company has the *right* to close a division. The evidence confirms that the *production* activities of the C&P Division ceased. The Claimant admitted that the manufacturing line was stopped. Therefore, a **technical redundancy** existed, the specific job of "Technical Manager for Cementitious Production" was no longer required in its original form.

[104] However, recognizing a technical redundancy does not automatically validate the dismissal. The Court must look beyond the label. If the Company is profitable and continues to trade in similar products (outsourcing or trading finished goods) the core functions of a "Technical Manager", quality control, customer inquiries, product specification, do not necessarily vanish. They may simply shift.

Findings on Substantive Fairness

[105] The Court finds that whilst there was a reorganization involving the cessation of manufacturing in the C&P Division, the Company has

failed to prove the financial necessity of the retrenchment. The suppression of financial evidence, coupled with the overall profitability of the Company, suggests that the "unbearable losses" narrative was exaggerated. While the closure of the division created a surplus of labour, the bona fides of selecting the Claimant for retrenchment, rather than absorption, is questionable. This leads the Court to the critical issue of procedural fairness and redeployment.

SECOND ISSUE: PROCEDURAL FAIRNESS, THE DUTY TO REDEPLOY

[106] Even where redundancy is genuine, Malaysian industrial jurisprudence demands that the retrenchment exercise be carried out fairly. This duty is enshrined in the **Code of Conduct for Industrial Harmony (CCIH)**.

The Requirements of the Code of Conduct industrial Harmony

[107] Clause 20 of the Code of outlines measures to avert retrenchment, explicitly recommending:

"Re-training and/or transfer to other department/work.".

[108] While the Company correctly submits (citing **Equant Integration Services Sdn Bhd V. Wong Wai Hung)[2012] ILNS 1296; [2013] MLRA 150** that the CCIH does not have the force of law, the Industrial Court is mandatorily required under **Section 30(5A) of the Industrial Relations Act 1967** to take the Code into consideration. Flagrant non-compliance with the Code without valid reason often points to a lack of *bona fides*.

The Feasibility of Redeployment

[109] The central contention here is whether the Claimant could have been transferred to **BU1 (Adhesives/Polymers)**.

The Claimant's Argument:

[110] The Claimant argues that she was contractually employed to work on "all the company's products." She possesses a chemistry background and 5 years of tenure. She specifically requested a transfer to other departments, a request she claims was summarily dismissed. She argues that her skills in quality assurance and technical support are transferable between cementitious products and polymer adhesives.

The Company's Argument:

[111] The Company argues that the Claimant was a specialist. COW-1 testified that BU1 deals with different chemical compositions (liquids/epoxies vs. powders) and that the Claimant lacked the specific technical competence for BU-1. The Company relies on **Teo Chin Wern V. Vizeum Media Services (Malaysia) Sdn Bhd [2024] ILRU 0520: [2024] 3MERL 402** arguing that an employer is not obliged to create a post where none exists.

This Honourable Court's Analysis:

[112] This Honourable Court finds the Company's failure to redeploy the Claimant to be procedurally unfair for several reasons:

i. **Contractual Estoppel:** The Company cannot argue the Claimant is "too specialized" when they themselves drafted an employment contract stating her duties covered "**all the company's products."** This clause acts as a contractual acknowledgement of her potential utility across divisions. The Company is estopped from narrowing her scope to justify retrenchment when the contract allows for broader deployment.

ii. **Lack of Assessment:** There is no evidence that the Company conducted any formal skills assessment, interview, or evaluation to determine if the Claimant could handle BU1 duties. COW-1's testimony that "she was not suitable" appears to be a subjective assertion rather than an objective finding.

iii. **Failure to Retrain:** The CCIH obliges employers to consider "re-training." If the Claimant lacked specific knowledge of epoxies, a profitable company with a 5-year employee should reasonably offer retraining rather than immediate termination. The Company offered no such option.

iv. **Disparity of Treatment:** The evidence suggests that lower-level employees (operators) were transferred or offered voluntary separation schemes (VSS). The Claimant was the sole employee in the division retrenched without option. While managers and operators have different transferability the complete lack of effort to save the Claimant's employment stands in stark contrast to the treatment of others.

[113] The Court distinguishes **Teo Chin Wern's case**. In that case, the company was ceasing operations or the specific role was unique. Here

RLA Polymers continued to operate BU1 a parallel technical division. The refusal to consider the Claimant for BU1, despite her request and contractual scope indicates a pre-determined decision to exit her.

THIRD ISSUE: THE HEIGHTENED STATUTORY BURDEN (PREGNANCY DISCRIMINATION)

[114] This pivotal issue distinguishes this case from standard retrenchment disputes. The Claimant was pregnant. The **Employment** effective 01 January 2023, introduced **Section 41A**, of **Employment Act 1955 [ACT 265]** providing explicit protection against the termination of pregnant employees.

Statutory Interpretation of Section 41A.

[115] The section prohibits termination of a pregnant employee **except** on three grounds:

a) Wilful breach of contract.

b) Misconduct.

c) Closure of the employer's business.

[116] The Company relies on exception (c): **"Closure of the employer's business."**

[117] The Conflict of Interpretation:

i. **Company's Interpretation:** "Closure of the employer's business" should be read to include the closure of a specific *business unit* or *division*. They argue that for the C&P Division employees, the "business" effectively closed.

ii. **Claimant is Interpretation:** "Employer" refers to the legal entity (the Sdn Bhd). RLA Polymers (M) Sdn Bhd did not close. It is still trading, profitable, and employing staff in BU1. Therefore, the exception does not apply.

This Honourable Court's Determination:

[118] The Court must apply the canons of statutory interpretation. Section **41A of Employment Act 1955 [Act 265]** is a piece of social legislation designed to align Malaysia with international labour standards (such as ILO Convention No. 183). Its purpose is to provide security of tenure to women during the vulnerable period of pregnancy.

a) **Literal Rule:** The statute uses the definitive phrase "closure of the **employer's business**" (singular). It does not say "closure of a department" "closure of a division" or "redundancy." In

other sections of the Employment Act (e.g., relating to retrenchment benefits), the law recognizes redundancy as a broader concept. The limitation in Section 41A to "closure of the employer's business" indicates a legislative intent to set a **very high threshold** for terminating pregnant women.

b) **Purposive Rule:** If "closure of the employer's business" were interpreted to mean "closure of any department," the protection would be rendered toothless. An employer could simply "close" a department, retrench the pregnant employee, and then restructure. The intent of Parliament was clearly to prevent retrenchment of pregnant employees *unless* the employer itself ceases to exist or ceases operations entirely.

Finding on "Closure of Business":

[119] The Court holds that "closure of the employer's business" in Section 41A (1) (c) refers to the complete cessation of operations of the legal entity or at the very least, a substantial shutdown akin to winding up. It does not cover the strategic closure of a single product line while the Company continues to operate other profitable lines.

Since RLA Polymers (M) Sdn Bhd continued to operate BU1 and remained profitable, the "closure of the employer's business" exception was **NOT triggered**.

Failure to Discharge the Burden of Proof

[120] Even if, arguendo, the Court were to accept the Company's broader interpretation, the Company failed to discharge the burden under **Section 41A (2)** to prove the termination was *not* due to pregnancy.

[121] The circumstances raise a strong presumption of discrimination:

a) **Timing:** The Claimant informed the Company of her pregnancy in August 2023. The "closure" memo was issued in October 2023.

b) **Selection:** The Claimant was the only manager retrenched.

c) **Financial Motivation:** By terminating the Claimant at 7 months pregnant, the Company avoided paying **98 days of Maternity Allowance** (approximately (3.2 months' salary) and the costs of a replacement.

d) **Refusal to Redeploy:** As noted in second Issue, the refusal to transfer her to BU1, despite her contract allowing it, suggests an intent to remove her specifically.

[122] The Company offered no evidence to rebut this presumption other than the "losses" of the division, which (as noted in First Issue) were unproven by documents. The Company relied on **Boral Plasterboard (M) Sdn Bhd V. Noor Zalila Talib [2004] 1MELR 877** where the Court upheld the retrenchment of a pregnant employee. However, *Boral Plasterboard* was decided *before* the enactment of Section 41A. It applied general principles of "bona fide redundancy." The 2022 Amendment fundamentally changed the landscape, removing "redundancy" as a valid ground for terminating pregnant employees unless it amounts to a full business closure. *Boral Plasterboard* is therefore no longer good law in the face of the new statutory bar.

Conclusion on Third Issue:

[123] The termination of the Claimant was a violation of Section 41A of the Employment Act 1955. It was an offence under the Act and, by extension, a dismissal without just causes or excuse.

Conclusion

[124] After a thorough evaluation of the evidence and the law, the Court arrives at the following conclusions:

a) **On Substantive Fairness:** The Company failed to prove the financial necessity of the retrenchment due to the suppression of audited financial statements.

b) **On Procedural Fairness:** The Company failed to adhere to the *Code of Conduct for Industrial Harmony*. Specifically, it failed to discharge the duty to redeploy the Claimant to BU1 or other functions, despite her contractual scope covering "all products" and her request for transfer.

c) **On Statutory Legality:** The termination was in direct contravention of **Section 41A of the Employment Act 1955**. The partial closure of the C&P Division does not constitute "closure of the employer's business" under the Act. The Company failed to discharge the statutory burden of proving the dismissal was not linked to pregnancy.

Finding Of This Honourable Court

[125] The Court finds the Company has failed to discharge its onus of proof that the Claimant's dismissal was with just cause or excuse under Section 20(1) Industrial Relation Act 1967 [ACT 177]**.**

[126] The plea of closure is unconvincing in light of continued operations, dividends paid, and survival of business infrastructure post-termination date.

[127] There was non-compliance with the Code of Conduct on consultation, retrenchment alternatives, LIFO principle, and objective selection.

[128] The lack of consultation itself constitutes a fundamental breach of natural justice and the duty of industrial fair dealing, as reinforced by authorities.

[129] No evidence was provided concerning the Claimant's performance, conduct, or any reason unrelated to alleged redundancy.

[130] The Claimant, with 7(seven) and 7(seven) month of service, which was from 01 April 2013 until 01 November 2021 denied his basic industrial rights at the point of becoming most vulnerable.

[131] Accordingly, the Court finds that the dismissal of the Claimant, **Anusiah a/p Ramasindarum**, was **WITHOUT JUST CAUSE OR EXCUSE**.

[132] Pursuant to section 30(5) of the IRA1967 and after having considered the totality of the evidence adduced, this Court is of the view that the Company **had failed to establish on the balance of probabilities** that the dismissal of the Claimant from his employment with the company was with just cause or excuse.

[133] This Court having ruled that the Claimant was dismissed without just cause or excuse, will now consider the appropriate remedy for the Claimant.

Decision

[134] On the balance of probabilities, the Claimant's termination was **not** for a valid redundancy with just cause. In circumstances of a

generalized downturn, the Company was entitled to retrench, but it must do so fairly. Here, it failed to follow the usual seniority rule and gave no credible reason for treating the Claimant as surplus.

[135] The Claimant's long service, clean record and refusal to waive pay cuts all point to *mala fides* in selecting him over more junior colleagues. Accordingly, the dismissal was made without just cause or excuse.

[136] This conclusion is compelled by **Ng Chang' Seng [supra]** and related authorities, which condemn retrenchments that are in truth punitive exercises in disguise.

[137] This Honourable Court give the order that therefore award relief under Section 20 IRA. Reinstatement is impracticable after many years' separation (and indeed the Claimant did not seek reinstatement). The appropriate remedy is compensation and back wages.

REMEDY

[138] Based on the Court's assessment of the industrial climate between the parties, it is certainly not conducive to reinstate the Claimant

as the relationship between the Company and the Claimant has been badly strained. In the circumstances, it is inappropriate to order for reinstatement. Instead, the Claimant will be awarded with an appropriate remedy accordingly.

[139] In respect of the quantum the Court is mindful of the view taken by Tun Salleh Abas FJ in the case of **Hotel Jaya Puri Bhd. V. National Company of Hotel, Bar & Restaurant Workers & Anor [1990] 1 MLJ 109:**

".. if there is a legal basis for paying the compensation, the amount of course is very much a matter of the discretion which the Industrial Court is fully empowered under s.30 of the IRA 1967 to fix."

BACK WAGES

[140] Back wages are calculated based on the Claimant's last drawn salary but limited to 24 months. From the back wages, the court is required to make a deduction for any contributory conduct, post dismissal earnings and delay in the hearing of the case but such a deduction need not involve a mathematical calculation.

[141] This Court is bound by the principle laid down in the case of **Dr. James Alfred (Sabah) V. Koperasi Serbaguna Sanya Bhd (Sabah) & Anor [2001] 3 CLJ 541.** His Lordship Justice Tan Sri Steve Shim CJ (Sabah & Sarawak) in delivering the judgement of the Federal Court held that:

''In our view, it is in line with equity and good conscience that the Industrial Court, in assessing quantum of back wages, should take into account the fact, if established by evidence or admitted, that the workman has been gainfully employed elsewhere after his dismissal. Failure to do so constitutes a jurisdictional error of law. Certiorari will therefore lie to rectify it. Of course, taking into account such employment after dismissal does not necessarily mean that the Industrial Court has to conduct a mathematical exercise in deduction. What is important is that the Industrial Court, in the exercise of its discretion in assessing the quantum of back wages, should take into account all relevant matters including the fact, where it exists, that the workman has been gainfully employed elsewhere after his dismissal. This discretion is in the nature of a decision-making process.''

Contributory Factor

[142] This Court have carefully examined the facts and evidence in this case and of the view that there was no contributory factor on the part of the Claimant. Hence, under the item there is no deduction shall be made to this contributory factor.

DELAY

[143] From an examination of the notes of proceedings, this Court is satisfied that the Claimant did not occasion any delay in connection with the hearing of this Director General of Industrial Relation of Malaysia reference. Hence, there is no deduction under this head.

[144] At the time of dismissal, the Claimant last drawn basic salary was **RM 9,231.00 [as at p.8-1, CLB-1]**. On the facts of this case, **there is evidence of post- dismissal income after the Claimant was dismissed by the Company**. **Hence, there shall be deduction under this item**. The Claimant has served the Company for **five (5) years two (2) months and twenty-two (22) days which was from 09 August 2018 until 31 October 2023.**

MONETARY AWARD

[145] After having considered the evidence adduced before this Court as well as the submission by both parties, the remedies are as follows:

i. Back wages for twenty-four (24) months based on the Claimant's last drawn salary:

RM 9,231.00 X 24 months = RM 221,544.00

Less 5% (Post-Dismissal -The Claimant was employed at another Company) = (RM 11,077.20)

TOTAL = RM 210,466.80

Add

i. Compensation in lieu of reinstatement, based on the formula of one month's salary for every completed year of service. The Claimant has completed five (5) full years of service calculated from until the date of employment, which was on **09 August 2018 until the date of dismissal on 31 October 2023.**

RM 9,231.00 X 5 months = RM 46,155.00

TOTAL = RM 256,621.80

[146] The monetary award in a total sum of **RM 256,621.80** less statutory deductions, if any shall be paid by the Company to the Claimant via his Representative, **Union Network International Malaysia Labour Centre (UNI-MLC)** within 30 days of the award with interest of 8% per annum to be calculated from 30 days of the award until full and final settlement.

[147] This Court verily believe that this Award is just and appropriate in the light of the particular facts of the present case and guided by the principles of equity, good conscience and substantial merits of this case without regard to technicalities and legal forms.

HANDED DOWN AND DATED THIS DAY 23 DECEMBER OF 2025

-signed-

(ZALINA BINTI HAJI AWANG @ MAMAT)
CHAIRMAN
INDUSTRIAL COURT, MALAYSIA
KUALA LUMPUR